

well. I thought so, too—as soon as he granted me an interview. We sat together at an outdoor table, surrounded by several of his fans.

Mr. Prechter told me he'd graduated from Yale and took the familiar path to Wall Street, though earlier he'd stumbled onto the curious and forgotten research of a man named Elliott. Mr. Elliott had reduced all stock market movements to a series of waves, similar to the light waves in physics. Along the way, he'd also reduced all wars, depressions, plagues, holocausts, conquests, migrations, and the other important events throughout human history to a series of waves. Through this cosmic zigzag, Mr. Elliott could explain everything that happened on our planet back as far as the Assyrians, plus foretell the future from here to Armageddon.

Mr. Prechter was intrigued, and continued to study Mr. Elliott. Though he had no way of proving whether waves had defeated Attila the Hun or Napoleon, he tried to use the wave theory to predict the closing number on the Dow Jones transportation average in a certain week during 1975. To his delight, it worked. Unfortunately, Mr. Elliott had died in 1948, so Mr. Prechter could not go directly to the source for further instruction, but he found a latter-day disciple, A. J. Frost, who taught him the refinements. Mr. Prechter has devoted his life to the waves ever since. He follows the investment markets in a newsletter, *The Elliott Wave Theorist*, which he publishes from his offices in Gainesville, Georgia.

Laugh if you want, but Mr. Prechter's predictions have been frequently prophetic. Of the hundreds of competing publications, his newsletter consistently ranks in the top five in the profitability of advice, according to the *Hulbert Financial Digest*. (Hulbert's *Digest* is a well-known newsletter devoted to rating all the other newsletters, another example of how complicated this business has become.)

I asked Mr. Prechter whether the average investor had much of a chance these days, and he said he doubted it. "If anything, the mass psychology is getting more pronounced. People think that mutual funds will protect them, but in the end, whether they invest for themselves or they do it through a mutual-fund manager isn't going to make much difference." (I reminded myself to investigate